Choose relevant historical financial data, including past sales, expenses, profits, and cash flow records. Ensure that your dataset is sufficiently extensive to generate forecasts that accurately reflect real-world scenarios.

3. **Organize selected data**
   Arrange the data in a structured and organized format. Use columns to represent various financial variables and rows to delineate different time periods, such as quarters or years. Ensure that data labels are accurate and create clear column and row headings for easy comprehension.

4. **Calculate forecast variables**
   At this stage, it's crucial to identify the key forecast variables that are expected to impact the desired financial outcomes. These variables could include sales growth rates, profit margins, discount rates applied to cash flow, and more. Utilize Excel's formulas and features, which have been extensively covered in previous chapters, to easily calculate these variables.

5. **Using financial forecasting techniques**
   There are several financial forecasting techniques in this area such as linear regression, historical analysis, or scenario-based models. It is important to choose the most suitable technique based on the available data and the characteristics of the industry. Excel's analysis functions and tools play a crucial role in this process.

6. **Validate and check the results**
   Once the financial forecasting model has been created, it is advisable to conduct a thorough validation of the results by comparing them with historical data and doing a critical review to make sure the results are realistic.

7. **Update and monitor the model**
   A financial forecasting model is not a static, finished document. It requires regular updates and monitoring. For instance, it is important to check for differences between actual and forecast results, making necessary changes based on new information or updated market conditions.